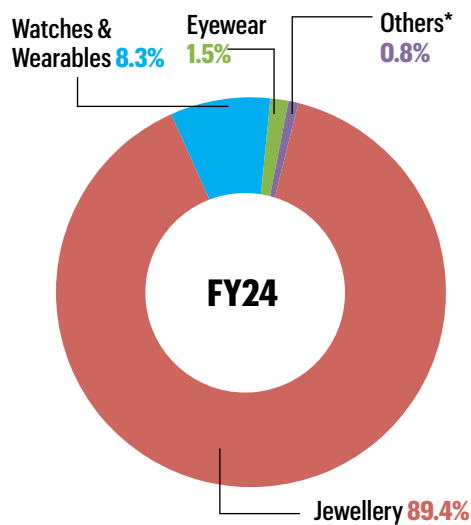
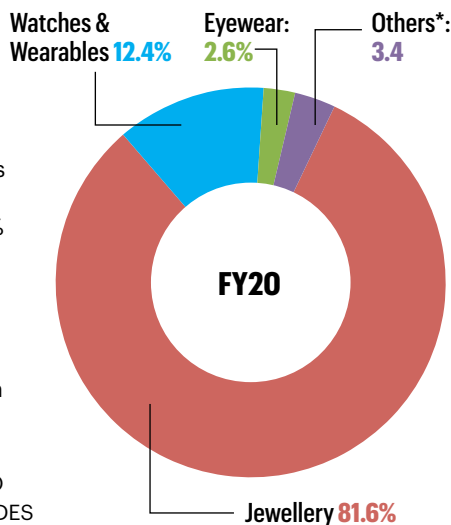


ADDING GLITTER

► The jewellery division's share in Titan's top line increased to nearly 90% in FY24 from 82% in FY20

► The watches and wearables division's share has declined from 12.4% to 8.3%

NOTE CONTRIBUTION TO TOTAL REVENUE; *INCLUDES TANEIRA, SKINN AND ACCESSORIES BRANDS



SOURCE PRABHUDAS LILLADHER

number of bills) grew by 8%. But Titan's jewellery sales grew 20% as new buyers flocked to it. Also, when the price of gold jumps, customers prefer to wait and watch. Consumers began thinking, can we afford gold jewellery any more?

'ORE' FOR LESS

This posed a new challenge, but Chawla was ready. First, Titan pushed an existing range of gold jewellery that looked bulky but weighed less and, therefore, cost less. Second, Titan promoted the exchange offer. Bring your old gold jewellery, Titan told buyers, and get the gold valued at the same rate at which Titan is selling the gold in its new jewellery in exchange.

"While we always had the exchange programme, we are now constantly educating the buyer about its transparency. Gold exchange reduces the [cost] burden on customers. Also, we have recently introduced a lot of lightweight jewellery," he says.

Third, a price lock-in or lowest price scheme allows customers to

choose between locking the gold price at a certain date, purchasing within a time frame at the same rate, or choosing the lowest rates during the period. It ran the scheme in the June quarter and attracted 70,000-80,000 customers.

With over ₹45,000 crore in retail revenue, Titan is India's largest branded jewellery company. While the flagship Tanishq drives the jewellery division, it is flanked by brands Mia and Zoya, aimed at young working women, and CaratLane, a jewellery start-up in which it acquired a majority stake in 2016.

GREAT CHALLENGES

Investors and entrepreneurs are eyeing India's burgeoning branded jewellery market. The market, primarily driven by gold, is estimated to be valued at ₹6.7 lakh crore and has a CAGR of 6%. But a significant part of it is unorganised (read: unbranded). Brands such as Titan, Kalyan Jewellers, and Malabar Gold & Diamond are expanding their networks, and regional players are going national.

According to Mangesh Chauhan, MD & CEO of Sky Gold, a Mumbai-based jewellery manufacturer with clients ranging from Malabar to Kalyan Jewellers, brands such as Titan have grown their presence in India's jewellery market over the last two decades, from 10% in the early 2000s to 35%. He says brands are expanding the market size and taking market share from the unorganised segment. The branded jewellery market has grown at 15% for the last three years, compared with the overall market growth of 6-7%.

Diversified conglomerates are also muscling in. Aditya Birla Group, one such group that owns an array of businesses from carbon black, cement and chemicals to consumer retail, telecom and textiles, stepped into the branded jewellery space in July.

Chairman Kumar Mangalam Birla, launching its brand Indriya at an extravagant event in New Delhi, explained why. Birla said the Indian gems and jewellery industry represents a true economic behemoth and is poised to